

operator portals. To differentiate, operators partner closely with content owners and thereby span the entire industry value chain.

Opportunities and Risks in Mobile Operator Scenario

Mobile device manufacturers are under the biggest threat in this scenario. Their opportunity lies mainly in their ability to become efficient producers of reliable commodity goods. Some device manufacturers will distinguish themselves through technical innovation, some through their ability to discount, but device primacy in the eyes of the consumer is lost here. The handset manufacturers that currently design their products in close consultation with their operator customers will have an opportunity to lead the market. Device manufacturers that are currently heavily invested in their own brands will be subject to the greatest threat.

By expanding along the value chain, mobile network operators can capture an increasing share of the overall industry value. In this scenario, mobile network operators have the greatest opportunity to build long-term, sustainable companies. The major risk for mobile operators in this scenario is that individual operators may overreach their ability to execute and thereby become targets for better-managed competitors. Operators that have already established themselves across regions or continents will have more relative power than smaller carriers if industry value shifts toward the operators. Operators also may, in the flush of their power, ignore consumer desires and the content-development expertise of entertainment companies. This arrogance will sow the seeds for consumer apathy toward mobile entertainment services and undermine the potential of the industry.

Portals with strong consumer support have the opportunity to extend their community into the mobile environment by gaining the endorsement of the mobile operators. It is more likely, however, that independent portals will be marginalized in the mobile environment by operators that want to control access to their customers. Service

Those service providers that can offer high value, difficult-to-replicate technology or support will have the chance to become inte-